FIXED INCOME RESEARCH

October 26 – 30, 2026

US Bond Market Weekly Update

10yr Treasury	2yr Treasury	IG OAS	HY OAS
4.98%	**4.61%**	**89 bps**	**326 bps**
▼ 26 bps MTD	▼ 17 bps MTD	▲ 3 bps MTD	▲ 2 bps MTD

WORD ON THE DESK

October closes on a cautious but slightly constructive note for fixed income, as coordinated rate holds across major central banks and a modest retreat in Treasury yields provided some late-week relief after a challenging month. The dominant theme has been the tug-of-war between resilient U.S. growth — reinforced by a stronger-than-expected Q3 GDP print — and persistent geopolitical and inflation risks emanating from Middle East tensions and elevated oil prices. Credit spreads have widened modestly on the month even as total returns remain positive, a reminder that carry and coupon income continue to do heavy lifting in this environment. Portfolio managers should watch the durability of Friday's yield rally carefully: if geopolitical risk premiums re-escalate or oil prices re-accelerate, the long end remains vulnerable to renewed cheapening. Heading into November, the Fed's next policy decision, upcoming labor data, and the trajectory of U.S.-Iran diplomacy will be the key signposts.

MARKET COMMENTARY

01 Macro and growth data delivered a mixed but net-positive signal for risk assets this week. U.S. Q3 GDP came in faster than expected, underpinned by resilient consumer spending and AI-driven business investment, even as elevated oil prices tied to Middle East conflict posed an inflation headwind. Treasury yields eased modestly on the print as markets interpreted the upside surprise as partially offset by ongoing geopolitical and inflation uncertainties rather than as a catalyst for renewed Fed hawkishness. [DATA: as of 2026-10-29]

→ The stronger growth backdrop reinforces the 'higher-for-longer' narrative at the Fed's next meeting, keeping front-end yields anchored even as the long end benefited from a flight-to-quality bid late in the week.

→ Eurozone Q3 GDP revealed disparate performance across member states, with bond yields mixed in response — underscoring that the global growth picture remains uneven and supportive of selective duration positioning.

02 Treasury yields rallied across the curve on Friday as multiple major central banks held rates steady, driving U.S. yields to multiweek lows in Asian and European trading sessions. At the Friday close, the 2-year yield stood at 4.61%, the 10-year at 4.98%, and the 30-year at 5.32%, all reflecting meaningful declines from month-start levels of 4.78%, 5.24%, and 5.61%, respectively. [DATA: as of 2026-10-29] The 2s10s spread narrowed by approximately 9 basis points month-to-date, moving from 46 bps at the start of October (5.24% – 4.78%) to 37 bps currently (4.98% – 4.61%), as the curve bear-flattened on the month before the late-week bull rally provided partial relief.

→ The 2s30s spread similarly compressed month-to-date, from 83 bps (5.61% – 4.78%) at month-start to 71 bps (5.32% – 4.61%) at Friday's close [DATA: as of 2026-10-29], consistent with a flattening bias driven by long-end supply concerns and sticky inflation risk premia.

→ Year-over-year, yields remain dramatically higher across the curve — the 10-year is 87 bps above its year-ago level of 4.11% — underscoring how much the rate environment has shifted for portfolio duration management.

Sources: Federal Reserve (FRED), Tavily Web Search
For informational purposes only. Data as of 2026-10-30.

03 Investment-grade corporate credit held up reasonably well despite a modest spread widening on the month. IG OAS stood at 89 bps as of Thursday's close [DATA: as of 2026-10-29], reflecting a 3 bp month-to-date widening, while the MTD total return for IG corporates came in at 1.77% [DATA: as of 2026-10-29], buoyed by the rates rally and coupon income absorbing spread headwinds. Primary market supply has remained a technical overhang, with issuers front-loading October calendars ahead of the election-period uncertainty and year-end.

→ At 89 bps, IG spreads remain historically tight in absolute terms, leaving limited cushion if macro risks — particularly an oil price spike tied to Middle East escalation — were to reassert themselves and pressure risk appetite.

→ The positive MTD total return despite spread widening is a direct function of the duration-driven rally: lower yields boosted price returns more than the 3 bp spread widening detracted.

04 High-yield credit demonstrated resilience this week, with HY OAS at 326 bps [DATA: as of 2026-10-29] — a modest 2 bp widening month-to-date — while MTD total returns reached 0.79% [DATA: as of 2026-10-29], reflecting the sector's shorter duration profile and higher carry as stabilizing forces. Risk appetite signals remain broadly intact, with HY spreads still well inside longer-run historical averages, suggesting the market is not yet pricing a meaningful deterioration in credit fundamentals.

→ The subdued spread widening in HY relative to IG on the month (+2 bps vs. +3 bps) is notable and speaks to continued strong demand for yield in a still-positive growth environment, even as geopolitical tail risks linger.

→ Energy sector credits within HY bear close monitoring given elevated oil prices — a double-edged sword that supports revenue for producers but raises broader input cost and macro inflation concerns.

05 Agency MBS and securitized product data are not present in this week's payload, precluding precise excess return attribution for those sectors. However, the rates backdrop — a meaningful bull rally into Friday's close following global central bank holds — is broadly supportive of MBS dollar prices, and the compression in Treasury yields should have reduced extension risk on current-coupon pass-throughs. Prepayment activity remains subdued given that prevailing mortgage rates continue to suppress refinancing incentives.

→ For securitized credit more broadly, the tightening in risk-free rates late in the week is a net positive for spread product valuations, though the persistence of elevated absolute yield levels continues to weigh on new origination volumes and housing activity.

06 Geopolitical risk remained a live variable throughout the week, with President Trump's October 26 signal that it is 'decision time' on whether to pursue a diplomatic deal with Tehran or resume military strikes against Iran keeping energy markets and bond investors on edge. The fluid U.S.-Iran situation contributed to upside oil price risk and prompted adjustments in Fed rate pricing at the margin, as a sustained oil shock could feed through to core inflation readings over coming months.

→ Analysts cautioned that despite Friday's yield pullback to multiweek lows, longer-term bonds remain structurally vulnerable to renewed selling pressure if geopolitical escalation drives another leg higher in oil prices or forces fiscal accommodation.

→ The combination of elevated oil prices, persistent inflation concerns, and ongoing fiscal spending was flagged as a durable upside risk to longer-term yields even as near-term technical momentum favored a modest rally.

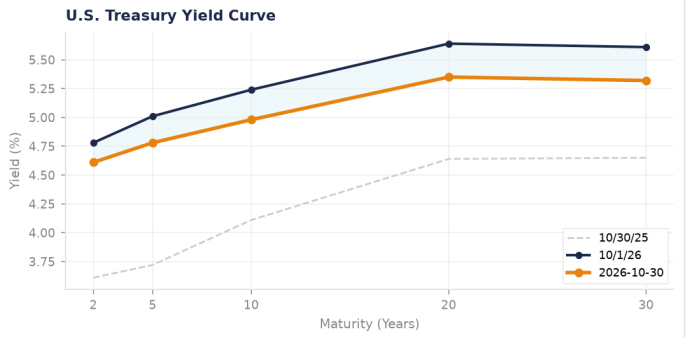
07 No Fed speakers were included in this week's data payload, leaving the monetary policy narrative largely shaped by market inference from the macro data flow and the global central bank rate-hold decisions. The coordinated holds by multiple major central banks on Friday reinforced a global pivot toward patience, and U.S. markets interpreted this as a signal that the Fed's own 'higher-for-longer' posture is broadly aligned with the international policy consensus rather than an outlier stance.

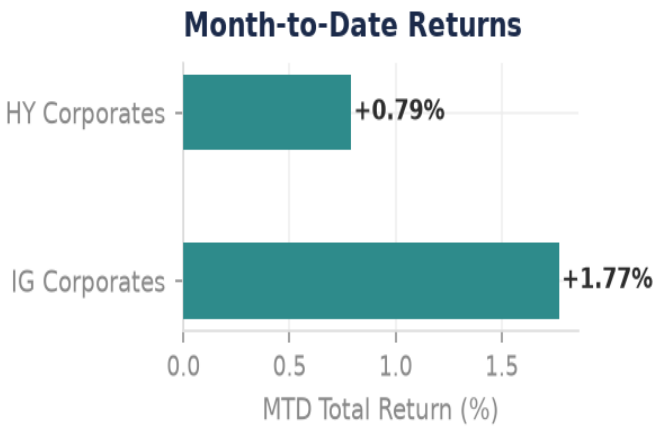
→ With no scheduled Fed commentary to anchor rate expectations heading into week-end, the next major Fed-specific catalyst will be the FOMC meeting outcome and Chair Powell's press conference, where the Q3 GDP upside and geopolitical inflation risks will likely shape the forward guidance tone.

→ Fed funds futures repricing tied to the U.S.-Iran geopolitical developments (noted in the October 26 event) suggests markets are keeping one eye on the tail scenario where energy-driven inflation forces the Fed to remain on hold longer than the base case implies.

08 ■■ QA flags present — human review required before trusting figures.

MARKET DATA





	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.61	4.78	4.98	5.35	5.32
MTD (bps)	-17	-23	-26	-29	-29

Sector	OAS (bps)	MTD Chg
IG Corporate	89	+3
HY Corporate	326	+2

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.61%	2026-10-29	FRED:DGS2
5yr Treasury	4.78%	2026-10-29	FRED:DGS5
10yr Treasury	4.98%	2026-10-29	FRED:DGS10
20yr Treasury	5.35%	2026-10-29	FRED:DGS20
30yr Treasury	5.32%	2026-10-29	FRED:DGS30
IG OAS	89.0 bps	2026-10-29	FRED:BAMLC0A0CM
HY OAS	326.0 bps	2026-10-29	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	+1.77%	2026-10-29	FRED:BAMLCC0A0CMTRIV
HY Corporates MTD Return	+0.79%	2026-10-29	FRED:BAMLHYH0A0HYM2TRIV